



The Conference Board Economic Forecast for the US Economy

Updated 14 May 2026

U.S. Outlook: Rising Risk of War Spillovers into H2 2026

The war in the Middle East unleashed an oil-driven inflationary shock that is now spreading through the U.S. economy, eroding purchasing power and compressing growth. As the conflict drags on with no easy exit and rising risks of a prolonged stalemate pertaining to reopening the Strait of Hormuz, the Fed will likely remain on an extended pause navigating risks of a potential tradeoff between containing inflation and supporting the labor market.

Before the start of the war, consumers were already under pressure as 2025 tariffs continued to pass into retail prices and wage growth continued to normalize from the Covid-19-era spike. An additional tax in the form of higher prices at the pump will likely dent consumer spending elsewhere. The recent surge in policy uncertainty due to the war may prevent companies from raising headcounts. This would nudge the unemployment rate higher in the coming months, even as companies abstain from laying off workers. This in turn could further cap personal income growth and restrain economic performance in 2026.

Even if diplomacy prevails, the negative shock to the economy is already set in motion. Spillovers are likely to extend into the second half of the year—even if a peace

agreement is reached in the coming weeks.

The Conference Board US Economic Outlook, 2024-2027

q/q percentage change, seasonally adjusted annual rates (except where noted), updated as of 13 May 2026

	2025				2026				2027				2024	2025	2026	2027
	I Q*	II Q*	III Q*	IV Q*	I Q*	II Q	III Q	IV Q	I Q	II Q	III Q	IV Q				
Real GDP	-0.6	3.8	4.4	0.5	2.0	0.8	1.0	1.3	1.8	1.9	2.2	2.6	2.8	2.1	1.7	1.7
Real GDP (YoY)	2.0	2.1	2.3	2.0	2.7	1.9	1.1	1.3	1.2	1.5	1.8	2.1	2.8	2.1	1.7	1.7
Real disposable income	2.3	1.8	1.0	0.0	0.5	0.3	0.5	0.7	1.0	1.5	1.7	1.8	2.9	1.7	1.7	1.7
Real consumer spending	0.6	2.5	3.5	1.9	1.6	0.7	0.8	1.3	1.9	1.9	2.4	3.0	2.9	2.6	1.7	1.7
Residential investment	-1.0	-5.1	-7.1	-1.7	-8.0	-3.0	-1.0	1.0	0.0	0.5	1.0	1.0	3.2	-2.2	-4.2	0.2
Nonresidential investment	9.5	7.3	3.2	2.4	10.4	4.0	4.3	5.4	3.6	3.8	3.9	3.8	2.9	4.1	5.5	4.1
Inventory change (bln chn '17\$)	172.0	-18.0	-24.0	-16.0	-8.0	-5.0	1.0	-5.0	-5.0	-3.0	-1.0	-1.0	44.0	29.0	-4.0	-2.0
Total gov't spending	-1.0	-0.1	2.2	-5.6	4.4	0.3	1.4	1.4	0.2	0.2	0.2	0.2	3.8	1.1	0.6	0.6
Exports	0.2	-1.8	9.6	-3.2	12.9	3.2	2.3	1.0	1.3	1.1	0.5	0.3	3.6	1.6	4.5	1.3
Imports	38.0	-29.3	-4.4	-1.0	21.4	4.4	4.8	5.0	1.0	1.0	1.0	1.0	5.8	2.7	3.6	2.4
Contribution to GDP from Inventories	2.6	-3.4	-0.1	0.1	0.1	0.1	0.1	-0.1	0.0	0.0	0.0	0.0	0.0	-0.1	-0.1	0.0
Contribution to GDP from Net Trade	-4.7	4.8	1.6	-0.2	-1.3	-0.2	-0.4	-0.6	0.0	0.0	-0.1	-0.1	-0.4	-0.2	0.0	-0.2
Unemployment rate (%)	4.1	4.2	4.3	4.5	4.3	4.4	4.5	4.6	4.5	4.4	4.3	4.3	4.0	4.3	4.5	4.4
Labor Force Participation Rate (%)	62.5	62.4	62.3	62.5	62.0	62.0	62.0	61.9	61.8	61.7	61.7	61.5	62.6	62.5	62.0	61.7
PCE Inflation (%Y/Y)	2.6	2.4	2.7	2.8	3.0	4.0	3.6	3.4	3.0	2.5	2.3	2.2	2.6	2.6	3.5	2.5
Core PCE Inflation (%Y/Y)	2.8	2.7	2.9	2.9	3.1	3.2	3.1	2.8	2.5	2.3	2.2	2.1	2.9	2.8	3.1	2.3
Fed Funds (% Midpoint, Period End)	4.375	4.375	4.125	3.625	3.625	3.625	3.625	3.625	3.625	3.375	3.125	3.125	4.375	3.625	3.625	3.125
Brent Oil Price, \$/bbl	63.0	68.0	67.0	75.0	80.0	100.0	100.0	80.0	60.0	60.0	60.0	60.0	80.0	68.0	90.0	60.0

*Actual Data

Source: The Conference Board, May 2026 • Created with Datawrapper

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